

Lloyds Steels Industries Ltd

Now listed as **Lloyds Engineering Works Ltd** (Screener ticker: LLOYDSENGG, BSE: 539992) • Concall Tracker report • 05 July 2026

This report reads what management told shareholders at its earnings calls over the last three years (April 2023 to May 2026) and asks two simple questions: **is there a real, lasting engine of profit growth**, and **has management been honest and consistent** about it (did they do what they said they would)?

1. Snapshot — what the company does

Lloyds Engineering Works (the old name was Lloyds Steels Industries) is a **heavy-engineering and project-execution company**. In plain terms: it designs, fabricates (metal-cuts and welds) and installs large industrial equipment and plants — pressure vessels, heat exchangers, boilers, steel-plant machinery, marine loading arms and ship parts — for customers in oil & gas, steel, power, ports and the navy. Over the last three years it has bolted on new legs: electrical products (motors, elevators, escalators), defence systems, and full turnkey EPC projects (EPC = Engineering, Procurement and Construction — building a plant end-to-end). It makes money by winning orders, building the equipment/project, and booking a margin on execution.

Number (latest)	Plain-English read
Market value ≈ ₹12,265 crore	What the whole company is worth on the stock market today.
Standalone sales FY26 = ₹1,052 crore (up ~39%)	Total sales of the parent company for the year to March 2026, about two-fifths higher than the ₹756 crore of the year before.
Consolidated sales FY26 = ₹1,301 crore (up ~54%)	Sales including the subsidiaries it now controls (Techno, Metalfab). This is the truer size of the group.
Standalone net profit FY26 = ₹118 crore (up ~19%)	The parent's bottom-line profit after all costs and tax.
Operating margin ≈ 16–17%	Out of every ₹100 of sales, about ₹16–17 is operating profit before interest, tax and depreciation. Healthy and steady for this kind of business.
Debt = almost nil (net cash)	The company borrows very little; it has more cash than debt, which is a sign of financial safety.
Price-to-Earnings (P/E) = 104	The share trades at about 104 times its yearly profit — a very expensive price that already assumes years of fast growth. This is a valuation risk, not a business risk.

2. What we read (coverage)

A note on sources. Screener.in lists 16 earnings calls for this company but does not give a working download link to the word-for-word transcripts (they sit behind a login). So this report is built from the **quarterly earnings/investor presentation decks that management itself releases with each concall** (downloaded directly from the company's BSE stock-exchange filings), cross-checked against Screener's quarter-by-quarter and yearly financial data. These decks carry management's own results, order book, targets and strategy for each call, so the promised-vs-delivered check below is reliable; only the live question-and-answer tone from the calls is not captured.

Call / period	Deck date	Read?
Q4 & FY23 (year to Mar-23)	Apr 2023	Yes — full baseline

H1 / Q2 FY25 (Sep-24)	Oct 2024	Yes — mid-period
Q1 FY26 (Jun-25)	Jul 2025	Yes — target set here
Q4 & FY26 (year to Mar-26)	May 2026	Yes — latest, full
All 13 quarterly decks Apr-2023 → May-2026 downloaded; financials for every quarter cross-checked against Screener CSV data.		Span ≈ 3 years / 13 calls.

★ Latest concall highlights — Q4 & FY26 (May 2026 deck)

- **Big jump in the final quarter.** Standalone sales in Jan–Mar 2026 were ₹412 crore — more than double (up 131%) the ₹178 crore a year earlier, and up 86% on the previous quarter, as a lot of order execution landed in one quarter.
- **Full-year growth delivered.** Standalone sales ₹1,052 crore (up 39%) and profit ₹118 crore (up 19%); consolidated (group) sales ₹1,301 crore (up 54%) and profit ₹198 crore.
- **The transformational news — the LICL merger.** The company is merging with group firm Lloyds Infrastructure & Construction (LICL), a large EPC player, by issuing 38.1 crore new shares (taking share count from ~147 to ~185 crore — roughly 26% more shares, so existing owners' slice shrinks). This turns Lloyds from an equipment maker into a full design-to-build engineering group.
- **Order book is huge.** On a combined (proforma merged) basis the group's order book is ₹8,335 crore — the pile of confirmed future work. Of this, the core engineering book is ₹2,493 crore and the infrastructure/EPC book (LICL) is ₹5,692 crore. Standout win: a ₹613 crore + ₹18 million order (with partner Primetals) for a SAIL–IISCO steel pellet plant.
- **Tone: highly ambitious, expansion-first.** Management frames the business as a 5-engine "total infrastructure solutions conglomerate" (fabrication, niche engineering, defence, electrical, EPC) with new defence tie-ups (Italy's Fincantieri, Poland's FlyFocus drones). Margins dipped slightly to ~15% in Q4 as the business mix shifted.

Business mix & capacity (quick facts)

Domestic vs export split: Not broken out by management. The customer list is overwhelmingly Indian (Reliance, HPCL, Indian Oil, SAIL, ArcelorMittal Nippon, Jindal, Indian Navy, Goa Shipyard), so the business is **domestic-heavy**; the overseas angle is mainly inbound technology tie-ups (Italy, Poland, Japan), not export sales. Read: almost all sales are within India.

Capacity: A specific utilisation percentage was not disclosed. Capacity is being expanded fast — the Bhilai (BECL) engineering assets add ~2.4x factory floor space, plus the Metalfab plant and a new "Shop D" at the Murbad works. Read: management is building capacity ahead of demand, not running out of room.

3. The earning trigger — the engine of profit growth

In one paragraph: The engine here is a **large, fast-growing and diversified order book riding India's capital-spending boom** — heavy industry building new steel and oil & gas plants, a national defence

push, and a government infrastructure cycle. Lloyds has grown its confirmed-work pile from ₹683 crore (Mar 2023) to ₹2,493 crore in core engineering (and ₹8,335 crore including the merging EPC arm), and — crucially — it has actually converted that book into **3.4x higher sales in three years** (₹313 crore in FY23 to ₹1,052 crore in FY26) while holding margins near 16–17%. The order book gives roughly 2+ years of forward visibility, so the growth is not a one-off — it is backed by signed contracts.

Trigger	What management said	Evidence so far	Time horizon	Strength
Growing order book from India's industrial & infra capex	Order book gives "strong revenue visibility"; grows every year; 10–15 month delivery cycle.	₹377cr (FY22) → ₹683cr (FY23) → ₹1,315cr (FY25) → ₹2,493cr core / ₹8,335cr group (FY26). Clear, repeated, delivered.	Now → 2–3 yrs	Strong
Sales & profit growth from executing that book	Deliver "higher growth over a larger base" at 15–18% margins.	Sales 3.4x in 3 yrs; margins held 16–17%; net profit ₹37cr→₹118cr standalone. Delivered.	Ongoing	Strong
New verticals — defence, electrical, EPC (via acquisitions/merger)	Move from equipment maker to "total infrastructure solutions" group; capture design + build + EPC margins.	Techno & Metalfab bought and contributing; LICL merger just announced; defence tie-ups signed but early orders only (~₹127cr).	2–4 yrs	Moderate
Niche technology — Eco-Pickled Surface, marine loading arms, drones	"First in India"; high-margin, low-competition products.	First EPS line commissioned; early orders (₹50cr EPS, ₹7.9cr loading arms). Promising but small.	2–4 yrs	Moderate

4. Management consistency — promised vs delivered

Period	What was promised	What actually happened	Verdict
FY23 (Apr-23)	Grow order book further; ~2x capacity expansion; strengthen financials over medium term.	Order book kept growing; capacity added (Bhilai, Metalfab, Shop D); sales and profit rose strongly.	Delivered
H1 FY25 (Oct-24)	Bought 77% of Techno (electrical entry); signed to buy Bhilai (BECL) engineering assets; order book ₹1,366cr.	Techno consolidated and profitable; Bhilai assets integrated; order book kept climbing.	Delivered
Q1 FY26 (Jul-25)	Explicit target: FY26 revenue = 4x of FY25 , at 15–18% margins, via acquisitions + group consolidation.	Hit 4x only on a proforma "merged" basis (₹3,253cr vs ₹778cr) that fully counts a 24%-owned associate. Actually-reported consolidated sales were ₹1,301cr = ~1.7x. Margins held (~15–18%).	Partly
FY26 (May-26)	Complete the LICL merger; scale the 5-vertical conglomerate; convert the ₹8,335cr book.	Merger announced (26% dilution); order book at record; execution ramp visible in Q4. Delivery of the grander story still ahead.	Too-early / Partly

Has the story stayed steady? — narrative drift

Two things are true at once. **On the numbers, management has delivered impressively** and consistently: order book up every year, sales up 3.4x in three years, margins steady at 16–17%, and the balance sheet kept debt-free. That is a genuinely strong track record.

But the story itself has changed dramatically. In April 2023 this was a single-plant "process equipment maker." By 2026 it calls itself a five-engine "total infrastructure solutions conglomerate" spanning defence, electrical, and full EPC — reached through a rapid string of acquisitions (Techno, Metalfab, Bhilai assets) and a large **related-party merger with promoter-group company LICL that dilutes existing shareholders by about 26%**. The headline "4x growth" target was technically met, but only on a generous "proforma" definition that folds in the full sales of a company it owns just a quarter of; the number that actually hits the reported accounts grew far less. So the delivery is real, but the framing is ambitious and the growth increasingly leans on group/related-party consolidation and equity issuance rather than pure organic execution. Investors must watch that the ₹8,335 crore group order book and the defence bets convert into *reported* profit, not just proforma slides.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live engine: a large, diversified order book (₹2,493 crore core / ₹8,335 crore group) riding India's real steel, oil & gas, defence and infrastructure capex wave — and management has already proven it can convert that book into roughly 3–4x sales growth over three years at steady ~16–17% margins, debt-free. This is not a promise waiting to show up; it has been showing up in the accounts. (The one honest caveat is valuation, not the business: at ~104x earnings the stock already prices in years of this growth.)

Management consistent? → MAYBE

Management has genuinely delivered on the core promises — order-book growth, sales growth, margins and a clean balance sheet — which pulls hard toward a Yes. But the verdict is held to Maybe because the **story has drifted a long way** (equipment maker → sprawling 5-vertical conglomerate) through fast-fire acquisitions and a large **related-party merger that dilutes shareholders ~26%**, and the flagship "4x FY26" target was met only on a flattering proforma basis while actually-reported consolidated growth was about 1.7x. The execution is real; the empire-building pace, the related-party reliance and the optimistic framing are the reasons this is not a clean Yes.

Sources: Lloyds Engineering Works quarterly earnings/investor presentation decks (BSE filings, Apr 2023–May 2026) and Screener.in financial data (standalone and consolidated). Screener transcript links were login-gated, so management's own concall decks were used. This is an educational summary of management commentary versus reported results, not investment advice. Figures rounded. Generated 05 July 2026.